

these magazines away in 1975 or 1985, but 1995 is a different story. "Investors," says a *Wall Street Journal* headline at press time, "See Stocks Rising For Rest of '95." Had they been asked about 1996, 1997 or 2004, they would certainly have answered in the same way.

Figures 11-1 through 11-11 show the extent of the public's conversion in mid-1991, when investors dove headlong into the stock mania that had been building for over sixteen years. The charts depict mutual fund assets, the number and growth of mutual funds, common stock offerings, the value of initial public offerings of stock, household liquidity and stock ownership, purchases of growth stock funds and "aggressive" (i.e., even riskier) growth stock funds, and customers' margin debt with brokers. Every single one of these measures is at an all-time extreme. While 1993 set a record to date of \$130 billion worth of mutual fund purchases in a single year, 1994 set a record of \$124 billion worth of mutual fund purchases *in a down year*, when the average fund lost 1.7%, implying that bullish psychology is still swelling. Preliminary reports reveal a high level of buying in 1995 so far as well, so the mania has continued to this day. As a result of all this buying, and because pension funds that invest in stocks cover so many people today, 37.1 % of the U.S. households now have investments in the stock market, the highest figure

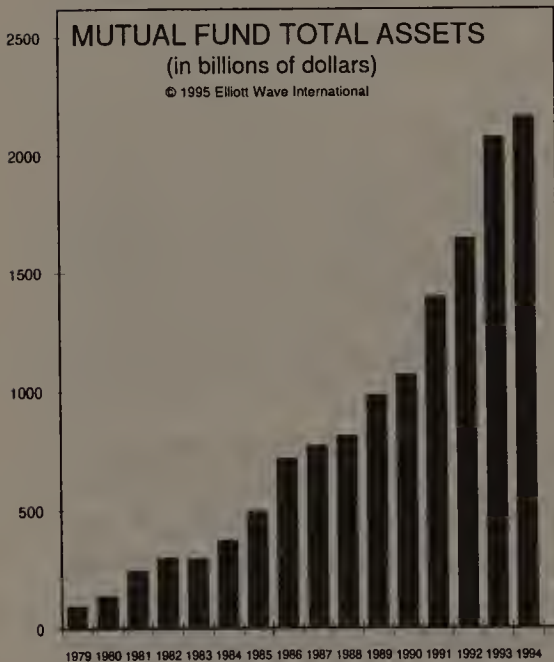


Figure 11-1

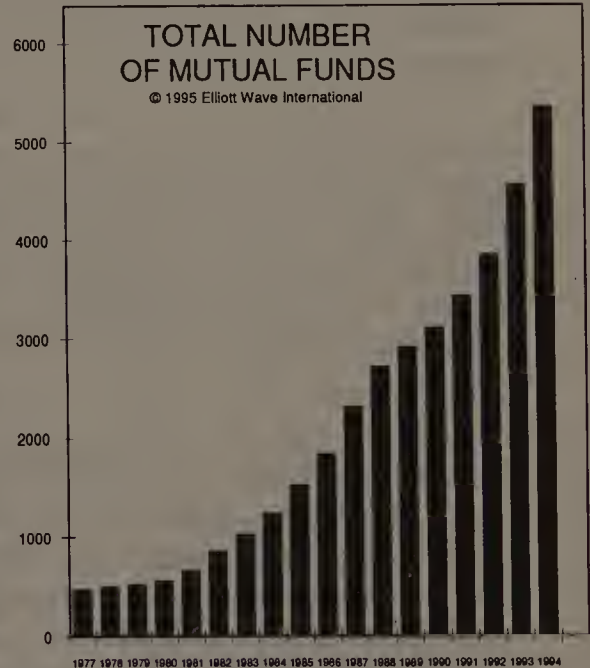


Figure 11-2